

Bramfield Tool

Bramfield Tool makes carbide cutting inserts at a single plant in Rockford, Illinois. Ninety percent of its output goes to one customer, a maker of agricultural equipment, under a supply agreement that runs through FY2030.

The agreement fixes the terms of the relationship and the customer has an option to buy the plant at its book value when the agreement ends. Bramfield's owners treat that as settled: five more years of production, then the plant goes to the customer at book and the working capital unwinds.

The plant is the business. Bramfield holds no other operating assets, and the owners want it valued on that basis before they open negotiations over renewal terms.

Bramfield's weighted average cost of capital is 11 percent. Its tax rate is 21 percent. Net PP&E at the end of FY2022 was \$30.00 million.

EXHIBIT 1 · INCOME STATEMENTS

\$ MILLIONS	FY2023	FY2024	FY2025
Sales	50.00	55.00	60.50
EBITDA	11.00	12.10	13.31
Depreciation	3.00	3.30	3.63
EBIT	8.00	8.80	9.68
Interest	1.00	1.00	1.00
Pretax income	7.00	7.80	8.68
Taxes	1.47	1.64	1.82
Net income	5.53	6.16	6.86

EXHIBIT 2 · BALANCE SHEETS

\$ MILLIONS	FY2023	FY2024	FY2025
Cash	3.00	3.50	4.00
Accounts receivable	6.00	6.70	7.30
Inventory	8.10	8.80	9.65
Net PP&E	33.00	36.30	39.93
Total assets	50.10	55.30	60.88
Accounts payable	3.10	3.40	3.64
Debt	20.00	20.00	20.00
Equity	27.00	31.90	37.24
Total liabilities and equity	50.10	55.30	60.88

EXHIBIT 3 • THE FORECAST

Sales, FY2026	\$66.55m
Sales growth, FY2027–FY2030	10% a year
EBITDA margin	Hold at the FY2025 level
Net PP&E, depreciation, working capital	At the rates measured from Exhibits 1 and 2
Tax rate	21%
Weighted average cost of capital	11%
FY2030	No new capacity bought; plant sold at book value; working capital recovered

ASSIGNMENT

- 1 From the exhibits, measure three ratios: net PP&E to the following year's sales, depreciation to opening net PP&E, and net working capital to the following year's sales. Measure each one twice and say whether it is stable.
- 2 Build the capital schedule for FY2026 through FY2030. Capital expenditure is a formula, not an input. Say in one sentence what that formula is doing.
- 3 Build free cash flow for the five years, including the sale of the plant at book value and the release of working capital in FY2030.
- 4 The owners hold \$39.93 million of net PP&E and \$13.31 million of working capital today. Treating that as the amount invested, compute the NPV at 11 percent and the IRR.
- 5 Compare the IRR to FY2026 operating profit after tax divided by the capital invested today. Explain why the two numbers come out where they do.